

Agony of ECSTASY

By Shankkar Aiyar

You could call it a point on the learning curve. Circa 2008 is when the world learnt sequentially on how not to do business and how not to manage the economy. The year that capitalism was nationalised saw both private and political entrepreneurs caught *in flagrante delicto*. Language and articulation were challenged as primary phrases assumed pejorative connotations. Leverage, normally a tool to enhance, was deemed the original sin of the financial world. Bailouts were less about saving lives and more about saving the global financial architecture, and economists, not shrinks, were discussing depression. The best minds who failed to spot the cancer at first stage were scampering to reassign lazy suspicion as diagnosis.

In India, where subprime is an alternate state of mind, a somnolent serenity prevailed. Seven months after the discovery of the first cancerous subprime cell, India was still celebrating the boom. Indeed, on January 10, the Sensex shot to its peak of 21,206. Finance Minister P. Chidambaram described the 58-second subscription of the Rs 11,700-crore Reliance Power issue as the vindication of the India Story. Obeisance to the political mirage of inclusive growth was funded by profligacy with the largest ever Rs 60,000-crore farm loan waiver. Budget 2008-09 saw yet more money being pumped in to the dark hole that India's social sector spending is. Corporate India continued with its buying spree with Tatas acquiring the ailing Jaguar Land Rover for \$2.3 billion.

